WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

EL SALVADOR

Americas

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
San Salvador metropolitan area	Capital and commercial centre; home to government, banks and most service exporters, and the focus of a construction boom that grew 11.2% in Q2 2026	Financial services, business services, real estate, construction
Acajutla (Sonsonate, west)	Main Pacific port, now operated by Yilport–CEPA joint venture Unión Portuaria del Pacífico; container volumes up more than 30% in 2026, with a new 610-metre pier (phase 1 over $500 million) due to start before end-2026	Port logistics, energy, manufacturing
La Unión (east, Gulf of Fonseca)	Deep-water port included in the $1,615 million, 50-year port programme, and site of the Pacific Airport, whose $386.4 million first phase is due to open in H2 2027	Logistics, aviation, tourism, regional trade
La Libertad Pacific coast	Centre of a tourism expansion that brought more than 4.1 million international visitors and over $3.6 billion in foreign-exchange income in 2025	Hospitality, real estate, leisure
Acajutla energy hub	Site of Energía del Pacífico, a 378 MW liquefied natural gas-to-power plant described by IDB Invest as the largest private investment in the country	Power generation, gas, energy services
Free trade zones and active processing depots (nationwide)	Export platforms under a Free Zones Law reformed in December 2025, with duty and VAT-free entry and incentive extensions of up to ten years	Apparel, light manufacturing, business-process services

INVESTOR ENTRY ROUTES

- INVEST (Agency for the Promotion of Investment and Exports of El Salvador), created in 2023 to replace PROESA, provides investor facilitation, sector targeting and export promotion
- Free Zones Law (reformed December 2025) offering duty and VAT-free entry of goods, and up to ten additional years of incentives where investment and employment are doubled (minimum $500,000 for free zones, $800,000 for active processing depots)

- Law for the Promotion of Innovation and Technology Manufacturing (2023) granting 15-year exemptions from income, municipal and import taxes for software, artificial intelligence, data analytics, cybersecurity and hardware manufacturing
- Full dollarisation: the US dollar is legal tender, removing exchange-rate risk; foreign-owned firms paid $981.1 million in dividends in 2025, illustrating open profit repatriation
- Investment Banking Law (August 2025) allowing institutions with at least $50 million in capital to serve sophisticated investors, including in digital assets; Bitcoin acceptance by businesses has been voluntary since 2025
- Concession and mixed-economy models for infrastructure, as in the 50-year Acajutla and La Unión port concession (Yilport 80%, CEPA 20%), alongside multilateral co-financing from CAF, the IDB and Spain

MARKET-ENTRY OBSERVATION

El Salvador in October 2026 is one of the fastest-growing economies in Central America. GDP grew 3.9% in 2025 and accelerated to 4.8% in Q1 and 5.1% in Q2 2026, led by construction, energy and professional services; the IMF (October 2026) and World Bank both project 4.5% for 2026, and the central bank 4.5–5%. Record remittances of $9.99 billion (+17.8%), a homicide rate of 1.3 per 100,000 and tourism receipts above $3.6 billion support demand, while net international reserves rose 15.2% in H1 2026 to $5.17 billion. A $1.4 billion IMF programme anchors reform, with staff-level agreement on its combined second and third reviews reached in September 2026, and Moody's moved its B3 outlook to positive in February 2026. Net FDI eased to $474.8 million in 2025 from $755.8 million, which the central bank attributes to intra-group debt repayments and dividends, alongside record foreign-company profits of $1.64 billion.

El Salvador's main structural challenge is public debt of around 88% of GDP, with interest absorbing more than 18% of revenues and no independent monetary policy under dollarisation. The authorities have responded with clear fiscal consolidation: the overall deficit narrowed to 2.9% of GDP in 2025 with a primary surplus of 1.9%, gross financing needs have fallen from 18.3% of GDP in 2024 to a projected 9.1% in 2026, and a $1 billion DFC-backed debt conversion has eased costs. The IMF programme targets a further 3.5-percentage-point improvement in the primary balance and is expected to catalyse over $3.5 billion from other lenders. Continued delivery, including pension reform, offers a credible path to rating upgrades and lower borrowing costs, improving the outlook for infrastructure and private-sector financing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public debt and interest burden	Debt of about 88% of GDP and interest above 18% of revenues limit fiscal space; Fitch rates the sovereign B- (stable)	Deficit reduction, falling financing needs and the IMF programme support improvement; investors can favour self-financing projects or multilateral co-financing
Pace of IMF programme reviews	Reviews have taken longer than planned, linked by Fitch mainly to pension reform and Bitcoin-related issues; board approval of the combined reviews is pending	The September 2026 staff-level agreement restores momentum; track board approval and structural benchmarks as positive signals
Governance, judicial independence and concentration of power	The IMF has cited judicial independence as a constraint; constitutional amendments in July 2025 removed presidential term limits and a state of exception has applied since March 2022	Use international arbitration clauses and CAFTA-DR investment protections, and conduct thorough legal due diligence; policy continuity offers a predictable pro-investment direction
Foreign Agents Law (in force since September 2025)	Entities receiving foreign funds, goods or services must register, and a 30% tax applies to foreign funding	Take local legal advice on scope, particularly for foundations, CSR and donor-funded programmes; structure commercial operations accordingly
Energy costs and import dependence	Costly energy imports have widened the current account deficit, according to Fitch	Gas-to-power capacity at Acajutla and growing generation create openings in renewables, efficiency and grid investment
Volatility of net FDI flows	Net FDI fell 37.1% in 2025, driven by intra-	Strong profitability (13.2% return) signals

Issue	Potential Impact	Possible Mitigation
	group debt payments and profit remittances rather than closures, according to the central bank	viable operations; focus on gross inflows of $10.6 billion and sector trends when assessing appetite
Skills gaps and informality	The informal sector is estimated at about 70% of the economy, and the workforce often lacks advanced technical skills	Partner with training programmes and target tech incentives; early movers can shape a growing formal talent pool

INVESTOR RISK NOTE

El Salvador's risk profile reflects an economy with strong growth momentum, transformed public security and a credible fiscal adjustment under an IMF programme. Growth above 5% in Q2 2026, record remittances, tourism and reserves, and a positive Moody's outlook point to improving fundamentals, while dollarisation removes currency risk for foreign investors. The principal considerations are high public debt and interest costs, the timing of IMF reviews, and governance questions: the IMF has cited judicial independence as a constraint, presidential term limits were removed in 2025, a state of exception has applied since 2022 and the Foreign Agents Law imposes a 30% tax on foreign funding of covered entities. Investors can mitigate these through robust legal due diligence, international arbitration and CAFTA-DR protections, and multilateral co-financing. Continued fiscal delivery and reform progress offer a clear path to rating upgrades and a lower cost of capital.

MARKET ACCESS

El Salvador is a member of the Dominican Republic–Central America Free Trade Agreement (CAFTA-DR) with the United States and, in January 2026, became the first country in the Western Hemisphere to sign an Agreement on Reciprocal Trade with the US, which removes reciprocal tariffs on hundreds of listed originating goods. It has been a WTO member since 1995, participates in Central American economic integration and trades with the EU under the EU–Central America Association Agreement. Central America took 53.2% of exports and the US 30.6% in H1 2025, with knitted T-shirts, sugar and sweaters the leading products sold outside the region. The Acajutla and La Unión ports, a road link from the Gulf of Fonseca to Honduras's Puerto Cortés and the forthcoming Pacific Airport strengthen El Salvador's role as a regional logistics gateway.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Nayib Bukele)	Sets national economic, security and infrastructure priorities; the government holds a strong legislative majority	Primary reference point for strategic direction and flagship projects
INVEST (Agency for the Promotion of Investment and Exports)	National investment and export promotion agency, created in 2023 to replace PROESA	Standard first point of contact for market entry and incentive guidance
Banco Central de Reserva (BCR)	Central bank of a dollarised economy; manages reserves and publishes national accounts, FDI and remittance data	Relevant for financial-sector regulation and macroeconomic intelligence
Ministry of Finance	Leads fiscal policy, debt management and the government's side of the IMF programme	Key counterpart for public-finance, PPP and sovereign-linked transactions
Ministry of Economy (Minister María Luisa Hayem)	Oversees trade policy, free trade zone authorisations and signed the 2026 US reciprocal trade agreement	Essential for free zone incentives and trade-related investment
CEPA (Comisión Ejecutiva Portuaria Autónoma)	State port and airport authority; 20% partner in the port concession and developer of the Pacific Airport	Key counterpart for logistics, aviation and infrastructure investment
Ministry of Tourism (MITUR)	Leads one of the country's fastest-growing sectors, with over 4.1 million international visitors in 2025	Relevant for hospitality and coastal real estate projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce of El Salvador (AmCham) and the Chamber of Commerce and Industry of El Salvador (CAMARASAL) are the principal business associations, alongside the Salvadoran Industrial Association (ASI) for manufacturers and the FUSADES think tank for economic analysis. INVEST organises investor outreach and sector promotion. Multilateral lenders are active: the Inter-American Development Bank provided a $500 million loan in 2025 and IDB Invest has financed private energy projects, CAF and Spain are co-financing the Pacific Airport, and the US DFC supported a $1 billion debt conversion. The IMF programme is expected to catalyse over $3.5 billion in further multilateral financing, creating co-investment opportunities.

INVESTOR PROFILE BEST SUITED

El Salvador suits investors seeking exposure to a fast-growing, dollarised economy with close links to the US market: logistics and infrastructure investors drawn by the port and airport programmes; tourism and real estate developers building on record visitor numbers; manufacturers and service exporters using free trade zones and CAFTA-DR access; and technology, fintech and digital-asset firms benefiting from 15-year tax exemptions and the new investment banking framework. Energy investors will find openings in generation and efficiency. All investors should build governance and legal due diligence into entry planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage INVEST and confirm applicable incentives
Open dialogue with the national investment agency to identify the right regime, whether free zones, the technology innovation law or sector-specific support.

STEP 2: Commission legal and governance due diligence
Use experienced local and international counsel to review contracts, arbitration clauses, CAFTA-DR protections and the scope of the Foreign Agents Law.

STEP 3: Track the IMF programme and sovereign ratings
Follow board approval of the combined reviews, pension reform and rating actions, which will shape financing costs and project pipelines.

STEP 4: Explore logistics and infrastructure partnerships
Engage CEPA and Unión Portuaria del Pacífico on opportunities linked to the Acajutla pier, La Unión port and the Pacific Airport.

STEP 5: Leverage multilateral co-financing
Approach the IDB, IDB Invest and CAF early to align projects with their El Salvador programmes and reduce financing risk.